



continuously monitor stock price movements. At the office they scan their terminals and the CNBC news for market movements, and at home they keep tabs on the NASDAQ. They carry home huge reports to read before the next day. When they are on the move, they are busy on their mobile phones. Market gossip excites them and they make decisions based on rumours. News regarding political developments, monsoon forecasts, inflation figures, change in a minister's portfolio, and GDP growth figures play an important role in their lives. They tend to time the markets on such news. In every way they expend tremendous physical energy and effort to beat the market by outmanoeuvring the competition. But they don't realise that others are also doing the same.

My experience in the stock market dealing with fund managers has been really amusing. They sincerely believe that keeping themselves busy this way makes them look important and increases their ability to pick up the winners. Once I was at the office of a fund manager and we were chatting informally. The telephone rang but he did not answer it. After a couple of rings, the call went to the answering machine. This is how most of them behave. Show the world they are busy.

The day traders also take the physically difficult path of investing. They spend the entire day collecting information and make decisions based on that information. So, with all the fund managers and the day traders treading the same path, how can any one of them achieve better results?

Good opportunities come once in a while and you spot them only when you are cool and have the time to think. The physically difficult path is based on the assumption that there are a lot of opportunities out there and you have to keep digging hard to be successful at investing. The current volatility in the markets is the result of too many people trying to invest by this method. Life is simple. We make it complicated.



The Emotionally Difficult Path

Most of us may find the intellectually and the physically difficult paths too daunting. In that case we could opt for what is